Q Is the current phase of growth good enough to boost private investment and ensure adequate jobs that the country badly needs?

DHARMAKIRTI JOSHI
Government and households have played a significant role in driving the post-pandemic recovery in investments. Despite maintaining healthy balance sheets, corporations have remained cautious about aggressive investment due to ongoing global uncertainty. Recently, however, there are signs of a pickup in corporate investment momentum. The reforms initiated by the government are expected to further strengthen this trend, and securing a trade deal with the US, along with other foreign trade agreements, would help reduce uncertainty and bolster business confidence.... The key question now is how quickly and sustainably this rebound will unfold.

ASHIMA GOYAL
The gradual realisation that geo-economic uncertainty can and will be countered to sustain growth will boost private investment and job creation. There are signs that this is happening.

SOUMYA KANTI GHOSH
The current growth phase is conducive to a revival in private investment and job creation. Healthier corporate and bank balance sheets, rising capacity utilisation and policy stability are improving investment confidence. We are already looking at green shoots in the form of new projects announcement already reaching near Rs 50 lakh crore in Apr.-Nov. '25 compared to all-time yearly high of Rs 57 lakh crore in FY25. We believe that ongoing infrastructure expansion, manufacturing push and skilling initiatives of the government will boost private sector investment and create jobs.

> "IT MAY NOT BE POSSIBLE TO CREATE JOBS FOR EVERY PERSON OF WORKING AGE. TO DO SO, ONE MAY NEED REAL ANNUAL GROWTH RATES ABOVE 9 OR 10% TO SUSTAIN FOR MANY YEARS"
>
> **NEELKANTH MISHRA**

Q How will the uncertainties surrounding US tariffs impact growth? How much of a concern are FPI outflows, the slowing FDI and the falling rupee?

DHARMAKIRTI JOSHI
Despite global uncertainties, the real sector has remained relatively resilient, as India successfully offset tariff headwinds by strengthening domestic demand drivers. However, capital flows have been volatile. The rupee experienced a sharper depreciation compared to most emerging market currencies. Net foreign institutional investor flows—both in debt and equity—were negative, and foreign direct investment remained subdued during the first eight months of the fiscal year.

SAMIRAN CHAKRABORTY
India's export growth post tariff enactment has held up better than market apprehensions. While it is expected that the tariff-related headwinds might recede going forward, it will be important to continue with the supply side deregulation to improve productivity and look for expansion in alternate markets.... At this point, the persistent BoP (Balance of Payments) deficit is exerting depreciation pressure on the currency. We forecast that the BoP is likely to turn surplus from Q4FY26 but acknowledge that this will be crucial to turn the tide on INR.

ASHIMA GOYAL
India's prime strength is its growing depth and diversity, internally and now in trade also. The excessive US centricity and hype about US tariffs misses this. The pressures on the rupee were not just because of the delay in the trade agreement with the US but also because of the rise in the Current Account Deficit (CAD) in October. The November numbers show this shrinking with a healthy rise in exports and should reassure FPI as well as rupee pessimists. In the longer term, the rupee tends to revert towards a real effective rate of 100.

SOUMYA KANTI GHOSH
USA imposed 50 per cent tariffs on ~ $45 billion worth of major Indian exports. Sectors such as textiles and gems and jewellery, which are primarily labour-intensive industries, will be impacted. With robust GDP and higher export figures in November, growth was almost unaffected this year.... Since April 2, rupee has depreciated by 5.7 per cent, indicating that the 50 per cent tariff imposed on India is one of the major factors behind the current phase of depreciation.... FII outflow is another primary reason for rupee depreciation.

NEELKANTH MISHRA
US tariffs have so far not had meaningful impact on the overall economy, though they have caused and continue